There was one more Achilles heel in the fiscal federal arrangements in India: the system of making grants by the Centre to the states.

The makers of the Constitution did make an honest attempt to ensure states do not become dependent on the Centre for receiving discretionary fiscal grants. Article 275 (1) permitted the Parliament only to make, by law, grants-in-aid of revenues of such states that it determined in need of assistance.

Further, Article 275 (2) and Article 280 (2), read together, made a provision that until the Parliament makes such a law providing for grant-in-aid to the revenues of states, such grants can be made by the President, only after considering the recommendations of the Finance Commission. The responsibility to frame 'the principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India' was conferred on an independent and fair arbiter, the Finance Commission. Constitutionally, it appeared the provisions relating to making grants by the Centre to states were well safeguarded to ensure they received these grants only as non-discretionary, without any strings, much like tax devolution.

The trojan horse was, however, Article 282. Tugged under the broad heading of 'Miscellaneous Financial Provisions', it allowed the Union or a state to 'make any grants for any public purpose, *notwithstanding that the purpose is not one with respect to which the Parliament or the Legislature of the State, as the case may be, may m*ake laws'.

This provision is worded in the broadest terms. Such grants can be made by any of the fiscal authorities. Such grants can be made for any purpose, including one for which the legislative and executive power of the fiscal authority does not extend. Such grants can be made to the fiscal authority that has the legislative and executive power to deal with such a subject.

Over the next seven decades of India's fiscal policymaking, Article 282 would allow the Centre to virtually take over the expenditure responsibilities of the states and make them subservient. Theoretically,